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ITILv5 Foundation

The Architecture of Digital Value

AN EXPERT GUIDE TO ITIL VERSION 5 FOUNDATION
JAMES

FELIXENT | YGN, MM



Table of Contents

THE ARCHITECTURE OF DIGITAL VALUE	2
MODULE 1: KEY ITIL TERMS AND DEFINITIONS.....	3
MODULE 2: EXPERIENCE, STRATEGY, AND TRANSFORMATION.....	4
<i>Experience and Human-Centered Design</i>	4
<i>Strategy and Leadership in VUCA Environments</i>	4
<i>Transformation and Business as Usual</i>	5
MODULE 3: SERVICE OFFERINGS AND VALUE CO-CREATION.....	5
<i>Components of Service Offerings</i>	5
<i>The Value Equation in Practice</i>	6
<i>Sustainability and Value</i>	6
MODULE 4: SERVICE RELATIONSHIPS	6
<i>Stakeholder Personas</i>	6
<i>Relationship Models</i>	7
MODULE 5: THE ITIL FOUR DIMENSIONS OF PRODUCT AND SERVICE MANAGEMENT.....	7
<i>The Four Dimensions Explained</i>	7
<i>PESTLE Analysis: The External Environment</i>	8
MODULE 6: ITIL PRODUCT AND SERVICE LIFECYCLE (PSLM)	9
<i>The Eight Activities of the PSLM</i>	9
MODULE 7: THE ITIL VALUE SYSTEM.....	10
<i>Components of the Value System</i>	10
<i>The Seven Guiding Principles in the Digital Era</i>	11
AI-NATIVE GOVERNANCE AND THE 6C MODEL.....	11
<i>The AI Capability Model (6C Model)</i>	12
MANAGEMENT PRACTICES AND SPECIALIZATION CLUSTERS.....	13
<i>The Three Practice Clusters</i>	13
INTEGRATION WITH OTHER FRAMEWORKS.....	14
<i>ITIL, Agile, and DevOps</i>	14
<i>ITIL and Lean</i>	14
<i>ITIL and PRINCE2</i>	14
EXAMINATION INSIGHTS AND FINAL PREPARATION	15
ACTIONABLE CONCLUSIONS FOR PRACTITIONERS AND LEADERS.....	16



The Architecture of Digital Value

The release of ITIL Version 5 in early 2026 marks a transformative epoch in the history of IT service management (ITSM), signaling a decisive move away from traditional support models toward a unified approach to digital product and service management.¹ As organizations globally grapple with the acceleration of the digital landscape, the Information Technology Infrastructure Library (ITIL) has evolved to provide a common language that allows development, operations, and business functions to collaborate effectively in the co-creation of value.¹ This version specifically addresses the shift toward Industry 5.0, where human-technology collaboration, systemic resilience, and environmental sustainability are prioritized over simple automation.¹ The composition of the 2026 digital landscape suggests that ITIL Version 5 is approximately 40% derived from ITIL 4, with 36% comprising entirely new material and 24% representing modified or refined concepts.¹ This compositional shift reflects the necessity of addressing faster delivery cycles, constant technological disruption, and the widespread production use of artificial intelligence.¹

The transition from ITIL 4 to Version 5 represents an evolution rather than a complete reset of the framework.¹ While ITIL 4 successfully introduced the Service Value System (SVS) and holistic thinking, Version 5 expands these concepts to meet the demands of an AI-driven, fast-paced environment where products and services are no longer distinct entities but two sides of a single digital solution.¹ The strategic shift is characterized by a move from managing isolated IT systems to orchestrating end-to-end digital operations that directly influence customer and employee experiences.¹

Characteristic	ITIL V3	ITIL 4	ITIL Version 5
Primary Focus	Processes and Service Lifecycle	Value Co-creation and Practices	Digital Product and AI Management
Core Model	Service Lifecycle (5 Stages)	Service Value System (SVS)	Unified Product and Service Lifecycle
Operational Approach	Linear and Rigid	Holistic and Flexible	Adaptive, Complex, and AI-Ready



Customer Interface	Service Level Delivery	Co-creation of Value	Total Digital Experience (Customer & Employee)
Technology Role	Infrastructure Support	Business Enabler	AI-Native Foundation and Automation
Governance Style	Centralized Bureaucracy	Integrated Governance	Guided Decision-Making & AI Ethics

Module 1: Key ITIL Terms and Definitions

A nuanced understanding of Version 5 begins with a precise grasp of its foundational terminology. In the contemporary management environment, professionals must distinguish between technical outputs and business outcomes.¹ A product is defined as a configuration of an organization's resources designed to offer value, while a service is the means of enabling that value co-creation by facilitating outcomes that customers want to achieve without the customer having to manage specific costs and risks.¹ In the digital context, a digital product is a combination of resources based on digital technology, and a digital service is a service that depends largely on these products.¹

The relationship between these entities is inherently symbiotic. For instance, a bank's mobile application is the digital product, providing the necessary engine, while the ability for a user to execute a secure, instant transaction at midnight is the digital service, representing the actual value realized.¹ Value itself is not a static package delivered by a provider but is the perceived benefit, usefulness, and importance of something as realized through interaction.¹

The ITIL Version 5 "Value Equation" provides a mathematical framework for this perception:

$$\text{Value} = (\text{Outcomes Achieved} + \text{Costs Removed} + \text{Risks Removed}) - (\text{Costs Incurred})$$

¹

Practitioners must understand that for a service to be considered valuable, its positive effects must outweigh its negative ones.¹ From the consumer's perspective, costs and risks can be



removed, such as not needing to own expensive server hardware, or imposed, such as monthly subscription fees or the risk of service downtime.¹ The math emphasizes that value is subjective and dependent on the stakeholder's perception of the balance between what they gain and what they sacrifice.¹

Furthermore, the concepts of utility and warranty remain central to understanding service quality. Utility is defined as the functionality offered by a product or service to meet a particular need, summarized as "what the service does" or "fitness for purpose".¹ To have utility, a service must either support the performance of the consumer or remove constraints from the consumer.¹ Warranty is the assurance that a product or service will meet agreed requirements, summarized as "how the service performs" or "fitness for use".¹ Warranty typically addresses areas such as availability, capacity, levels of security, and continuity.¹ In Version 5, the assurance of warranty is increasingly automated through Site Reliability Engineering (SRE) and AI-driven observability.²

Module 2: Experience, Strategy, and Transformation

Module 2 explores the strategic evolution of the framework, focusing on how organizations navigate the volatile and complex digital landscape of 2026. This module highlights the shift toward "Total Experience" (TX), which encompasses both Customer Experience (CX) and Employee Experience (EX).¹

Experience and Human-Centered Design

Experience management is no longer a secondary consideration but a core driver of service value.³ Organizations are encouraged to design services around user needs and desired outcomes, utilizing human-centered design (HCD) to ensure that digital products are intuitive and trust-enhancing.² Trust, in the context of ITIL 5, involves transparency in how AI models make decisions and how data is handled.⁴ The framework introduces Experience Level Agreements (XLAs) as a critical evolution beyond traditional SLAs, focusing on qualitative user sentiment and the seamlessness of the service journey.²

Strategy and Leadership in VUCA Environments

Digital strategy is defined as the application of digital technology to achieve business goals, but Version 5 emphasizes that in modern organizations, digital strategy and business strategy are effectively one and the same.² Strategic leadership requires navigating VUCA (Volatility, Uncertainty, Complexity, and Ambiguity) environments.² Leaders must set clear missions, visions, and purposes that align with the co-creation of value while remaining flexible enough to pivot as market conditions or technological capabilities evolve.²



Transformation and Business as Usual

Transformation in Version 5 represents managing sustainable change by aligning people, processes, and technology.¹ It is distinguished from Business as Usual (BAU) by its focus on significant, non-linear shifts in operational models.² The ITIL Transformation module is a universal core component for all advanced certifications, emphasizing that successful digital transformation is not merely a technical project but a cultural and organizational evolution.¹

Module 3: Service Offerings and Value Co-Creation

Service offerings are the primary mechanism through which value is presented to stakeholders. Module 3 details the components of these offerings and the active role of both providers and consumers in value co-creation.²

Components of Service Offerings

Service offerings provide the menu of what is available to stakeholders and typically consist of three components: transfer of goods, access to resources, and service actions.¹

Offering Component	Description	Example
Transfer of Goods	Ownership of a resource is moved from provider to consumer.	Providing a corporate laptop to an employee. ¹
Access to Resources	Right to use provider-owned resources for a specific period.	Access to a cloud-based SaaS platform or 5G network. ¹
Service Actions	Specific activities performed by the provider to meet needs.	Service desk support, password resets, or incident repair. ¹



The Value Equation in Practice

Value co-creation recognizes that value is not "delivered" but created through interaction. The service provider performs activities (provisioning), and the consumer performs activities (consumption).¹ The intersection of these activities—relationship management—is where the actual value is realized.¹

The implications for practitioners are profound: a service provider can build a technically perfect product, but if the consumer lacks the skills or resources to use it, no value is created.¹ This "value lock" is avoided in Version 5 through increased focus on collaborative onboarding and active feedback loops.² Feedback is no longer just a survey at the end of a transaction; it is a real-time stream of data integrated into the product lifecycle to inform iterative improvements.²

Sustainability and Value

A key addition to Version 5 is the role of sustainability in value co-creation.³ Value must be weighed against its environmental and social costs.⁵ A service that achieves outcomes and utility but imposes high environmental risks or unsustainable costs is increasingly viewed as low-value in the Industry 5.0 context.¹

Module 4: Service Relationships

Service relationships are the models of engagement between service providers and service consumers. Module 4 emphasizes that these relationships are no longer one-way transactions but active cooperations aimed at value co-creation.¹

Stakeholder Personas

Within the consuming organization, the "Customer" role is segmented into three distinct personas, each with unique priorities. Understanding these personas is essential for tailoring service offerings and managing expectations.¹

1. **Sponsor:** The individual who authorizes the budget for service consumption. They are primarily interested in financial metrics, return on investment (ROI), and cost-benefit ratios.¹
2. **Customer:** The person who defines service requirements and takes accountability for the outcomes of consumption. They focus on solving specific business problems and ensuring the service fits the organizational purpose.¹
3. **User:** The person who interacts with the service day-to-day. Their priority is user experience, ease of use, and functional reliability.¹



Relationship Models

Version 5 identifies three primary types of service relationships based on the level of interaction and shared objectives ²:

- **Basic:** Characterized by simple, standard interactions where the provider and consumer operate independently.²
- **Cooperative:** Involves higher interaction levels where both parties coordinate activities to ensure the service meets evolving needs.²
- **Collaborative:** The highest level of integration, where the provider and consumer work as a single team with shared goals and integrated value streams.²

The "Service Journey" concept is used to map the end-to-end path a consumer takes when interacting with a service, identifying touchpoints where the relationship can be strengthened or where friction can be reduced.²

Module 5: The ITIL Four Dimensions of Product and Service Management

To ensure a holistic approach, ITIL Version 5 mandates that all service management activities consider four critical dimensions. Excellence in one dimension cannot compensate for deficiencies in others, and organizations must balance these dimensions while considering external factors through PESTLE analysis.¹

The Four Dimensions Explained

Dimension	Focus Areas	Impact of Version 5
Organizations and People	Roles, responsibilities, structure, and culture.	Focus on human-AI collaboration and breaking down silos for agile delivery. ¹
Information and Technology	Knowledge, data, systems, and platforms.	Explicit inclusion of AI-native foundations, cloud, and microservices. ¹
Partners and Suppliers	Vendor relationships and	Managing complex, multi-party vendor ecosystems



	ecosystems.	for seamless service. ¹
Value Streams and Processes	Workflow orchestration and activity integration.	Emphasis on Value Stream Mapping (VSM) and end-to-end flow. ¹

PESTLE Analysis: The External Environment

The four dimensions do not exist in a vacuum; they are influenced by factors categorized as PESTLE ¹:

- **Political:** Government policy, regional stability, and trade relations.¹
- **Economic:** Inflation, investment levels, and the cost of capital.¹
- **Social:** Cultural shifts, demographics, and user behavior trends.¹
- **Technological:** Innovations like AI, blockchain, and quantum computing.¹
- **Legal:** Compliance requirements, labor laws, and AI ethics regulations.¹
- **Environmental:** Sustainability goals, carbon footprints, and e-waste management.¹

The implication for the practitioner is that any change in the external environment—such as a new AI regulation (Legal)—will require adjustments across all four dimensions to maintain service value.¹



Module 6: ITIL Product and Service Lifecycle (PSLM)

The most significant structural innovation in ITIL Version 5 is the introduction of the unified Product and Service Lifecycle Model (PSLM). This model moves beyond the linear service lifecycle of previous versions to a holistic eight-activity flow that integrates product development and service operations.¹ This unified lifecycle allows teams to design, build, launch, and operate together, resulting in faster delivery and enhanced predictability.¹

The Eight Activities of the PSLM

The lifecycle activities are not a rigid sequence but can be combined flexibly into various value streams. The model acknowledges that digital solutions are never "finished"; they are constantly evolving.¹

Activity	Purpose	Key Outputs
Discover	Align product roadmaps with market needs and strategy.	Feasibility studies, updated roadmaps. ¹
Design	Plan solutions through prototypes and specifications.	Technical blueprints, service design packages. ¹
Acquire	Secure resources (hardware, software, talent).	Acquired assets, service components. ¹
Build	Code, configure, and test components into solutions.	Built and tested digital products. ¹
Transition	Introduce new/updated products into live environments.	Operational products ready for use. ¹



Operate	Monitor and maintain systems for reliability.	Performance records, health monitoring data. ¹
Deliver	Manage access and fulfillment requests for users.	Services delivered, SLA/XLA reports. ¹
Support	Resolve incidents and problems, restoring operation.	Restored operations, root cause analyses. ¹

The early stages (Discover to Build) lean toward the product aspect, while the later stages (Deliver and Support) lean toward service management. The Transition and Operate stages act as the critical bridge, ensuring that development efforts are seamlessly integrated into reliable service delivery.¹

Module 7: The ITIL Value System

The ITIL Value System (formerly SVS in ITIL 4) represents the holistic architecture of an organization's service management capabilities. It is designed to eliminate operational silos by ensuring that all components work in a coordinated manner to transform inputs (Opportunity and Demand) into outputs (Value).¹

Components of the Value System

The five core components interact to ensure the continuous co-creation of value ¹:

1. **Guiding Principles:** Enduring recommendations that guide the organization in all circumstances. They provide a compass for decision-making when the environment is volatile.¹
2. **Governance:** The system for direction and control, setting strategic direction and monitoring performance through the Evaluate, Direct, and Monitor (EDM) cycle.¹
3. **Service Value Chain:** The operating model that identifies key activities (Plan, Improve, Engage, etc.) required to respond to demand.¹
4. **Management Practices:** Organizational resources (34 in total) designed to perform work. These are now grouped into specialization clusters (MSF, PIC, CAI).¹
5. **Continual Improvement:** A recurring activity at all levels to ensure that performance meets stakeholder expectations as the environment changes.¹



The Seven Guiding Principles in the Digital Era

The guiding principles have been refined to emphasize their application in AI-native and agile contexts ¹:

- **Focus on Value:** Every activity must link to value for stakeholders. This requires understanding the consumer's business goals and risks.¹
- **Start Where You Are:** Avoid "rip and replace" mentality. Use direct observation (Gemba) to identify current successful practices.¹
- **Progress Iteratively with Feedback:** Break large projects into manageable chunks. Use stakeholder feedback to allow for rapid adjustments.¹
- **Collaborate and Promote Visibility:** Replace silo culture with shared understanding. Use tools like Kanban boards to make work visible.¹
- **Think and Work Holistically:** No part of the system operates in isolation. Success depends on understanding how technology affects people, processes, and partners.¹
- **Keep It Simple and Practical:** Eliminate any step, action, or metric that does not produce value.¹
- **Optimize and Automate:** reserve human intervention for tasks requiring genuine judgment. Optimize processes before applying AI or automation.¹

AI-Native Governance and the 6C Model

As organizations integrate artificial intelligence into the fabric of their operations, governance must transition from a central control mechanism to a guided decision-making model.¹ ITIL Version 5 provides structured guidance for the responsible and ethical adoption of AI, ensuring that transparency, accountability, and regulatory compliance are embedded from the start.¹



The AI Capability Model (6C Model)

To help organizations identify the specific AI capabilities required to support their value streams, Version 5 introduces the 6C Model.¹

Capability	Description	Strategic Application
Creation	Generating new content, code, or designs.	Accelerating software development and creative tasks. ¹
Curation	Managing and filtering vast datasets for relevance.	Enhancing knowledge management and data retrieval. ¹
Clarification	Explaining complex data or ambiguous scenarios.	Improving diagnostics in problem and incident management. ¹
Cognition	High-level reasoning and pattern recognition.	Predictive analytics for demand forecasting and risk. ¹
Communication	Interaction via natural language processing.	AI-assisted support agents and virtual assistants. ¹
Coordination	Orchestrating tasks across distributed systems.	Automating complex multi-team workflows and releases. ¹

Governance in the AI-native environment focuses on defining acceptable use policies, oversight mechanisms, and clear accountability structures. This ensures that AI and automation tools are used ethically to minimize risks while maximizing the benefits of faster delivery and smarter decision-making.¹



Management Practices and Specialization Clusters

ITIL Version 5 continues the use of 34 management practices, but the 2026 qualification scheme introduces role-aligned groupings for professionals pursuing the ITIL Practice Manager designation. To achieve this, candidates must complete the Foundation and the universal Transformation module, along with one of three specialization clusters.¹

The Three Practice Clusters

1. **Monitor, Support and Fulfil (MSF):** Focused on operational stability and user interaction. This cluster includes Service Desk, Incident Management, Problem Management, Service Request Management, and Monitoring & Event Management.¹
2. **Plan, Implement and Control (PIC):** Focused on the governance of changes and assets. This cluster includes Change Enablement, Deployment Management, Release Management, Service Configuration Management, and IT Asset Management.¹
3. **Collaborate, Assure and Improve (CAI):** Focused on strategic quality and relationships. This cluster includes Relationship Management, Supplier Management, Service Level Management, Continual Improvement, and Information Security Management.¹

Practices remain the "how" of service delivery, representing the combination of organizational resources needed to perform work. The shift in Version 5 emphasizes that these practices must be applied in a complexity-ready manner, adapting to the environment rather than following rigid procedural steps.¹



Integration with Other Frameworks

ITIL Version 5 is positioned not as a competitor but as a governance framework that enables other methodologies to work effectively in a corporate setting. It serves as a common language connecting Strategy to Delivery across various frameworks.¹

ITIL, Agile, and DevOps

In the Version 5 ecosystem, the "ITIL vs. Agile" debate is resolved by native integration. Change management has evolved into an automated, data-driven activity that integrates directly with DevOps CI/CD (Continuous Integration and Continuous Delivery) pipelines.¹ Standard, low-risk changes are pre-authorized for automated release, while normal changes are assessed through guided decision-making rather than centralized approval layers.¹ This supports high-velocity service delivery where organizations must respond to market changes at unprecedented speeds.¹

ITIL and Lean

Lean thinking is deeply embedded through the focus on value stream optimization and the elimination of non-value-adding steps.¹ Value Stream Mapping (VSM) identifies the "messy reality" of organizational work, allowing teams to move from reactive firefighting to proactive management by reducing lead times and improving flow visibility.¹

ITIL and PRINCE2

ITIL Version 5 remains compatible with PRINCE2, particularly during the Acquire, Build, and Transition activities of the unified lifecycle. Project management methodologies provide the structure needed for the realization of implementations, while ITIL provides the operating model and governance context to ensure that those implementations co-create value once operational.¹



Examination Insights and Final Preparation

The ITIL Foundation (Version 5) examination is designed to validate a candidate's practical understanding of the framework's core language and principles. Candidates should prepare for a scenario-based assessment that tests their ability to apply ITIL concepts in modern, AI-driven environments.¹

Exam Element	Requirement
Format	Multiple Choice ¹
Total Questions	40 ¹
Pass Mark	65% (26 correct answers) ¹
Duration	60 Minutes ¹
Book Status	Closed Book ¹
Language Availability	Initially English (Localization in progress) ¹

Prospective students are encouraged to use official eBooks and mock exams available through PeopleCert Accredited Training Organizations (ATOs).¹ While training is not mandatory for the Foundation level, it is highly recommended given that 36% of the content is entirely new to the industry.¹



Actionable Conclusions for Practitioners and Leaders

The 2026 iteration of ITIL represents the most practical and adaptable version of the framework to date, specifically engineered for organizations that are product-centric and digital-first.¹ The strategic shift toward a unified digital product and service lifecycle ensures that organizations can move faster and stay compliant while delivering measurable value in an increasingly complex world.¹

For individual professionals, the updated certification path provides role-relevant clarity, allowing them to upskill in areas like AI Governance and Experience design—skills that are in high demand across the competitive global landscape.¹ For organizations, the implementation of Version 5 offers a mechanism to align business goals with operational execution, fostering a culture of continual improvement that is data-driven and outcome-focused.¹ By adopting the ITIL Version 5 framework, organizations position themselves not just to survive the digital disruption but to lead through responsible innovation and total digital excellence.¹



Ref

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